Wingstop, Inc. ($WING) - BUY

Consumer Presentation to the General Body, February 5th, 2026

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A. Company Overview

Company Overview

Wingstop is a quick-service chain serving made-to-order chicken wings, tenders, and more. It operates a franchised, asset-light model focused on digital ordering and off-premise dining.

Investment Thesis

Wingstop has built a highly standardized, asset-light model that enables consistent execution at scale. This repeatable system supports rapid international expansion while preserving attractive unit economics. Demand is driven by precision marketing tailored to a younger, digital-native audience, complemented by disciplined menu expansion that increases per-visit spend. Smart Kitchen technology enhances production capacity and labor efficiency, while a resilient supply chain mitigates commodity volatility. As consumer preferences shift toward protein-forward, crave-driven meals, Wingstop is well-positioned for durable, long-term growth.

Key Highlights

$4.8B
(System Wide Sales)

$7.5B
(Market Cap)

2,563
(Total Restaurants)

12
(Global Markets)

#19
(QSR Rank)

70%
(Digital Sales Mix)

25.8%
(System Wide Sales 5-yr CAGR)

50M+
(Unique Digital Guests)

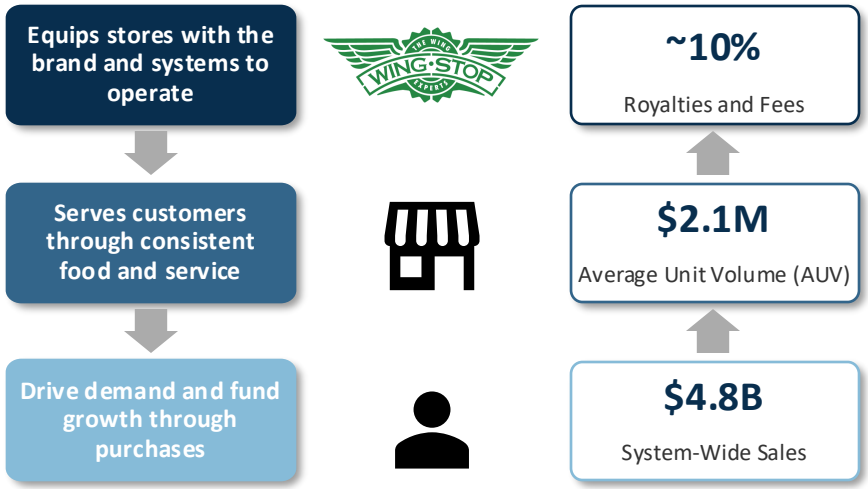
Financial Overview

Millions (USD)	FY 2021	FY 2022	FY 2023	FY 2024	CAGR
Revenue	**$282.5**	**$357.5**	**$460.1**	**$625.8**	**30.4%**
Growth % Y/Y		*26.6%*	*28.7%*	*36.0%*	
Gross Profit	**$225.1**	**$294.1**	**$389.4**	**$534.2**	**33.4%**
Margin %	*79.7%*	*82.3%*	*84.6%*	*85.4%*	
Free Cash Flow	**$20.9**	**$52.3**	**$80.8**	**$105.7**	**71.6%**
Margin %	*28.5%*	*30.2%*	*28.1%*	*30.8%*	
Net Income (Loss)	**$40.0**	**$55.2**	**$74.2**	**$109.5**	**39.9%**
Margin %	*14.2%*	*15.4%*	*16.1%*	*17.5%*	

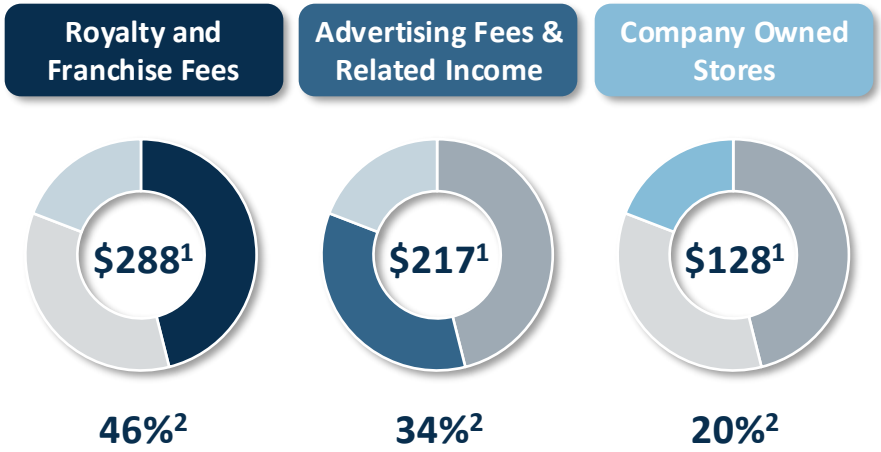
Sources: Company Reports, QSR Magazine

Wingstop Business Model

The Franchise Business



Breaking it Down



A Recipe for Success

Top 10 Global Restaurant Brand

$3.0M
Average Unit Volume Target

Current AUV: $2.1M

10,000+
Global Restaurant Potential

Current Locations: 2,563

Franchisee Friendly

Same Store Sales Streak	Wingstop has delivered positive same-store sales growth for 21 consecutive years, demonstrating durable demand, pricing power, and a highly repeatable model across economic cycles
Top-Tier Unit Returns	Wingstop generates industry-leading cash-on-cash returns of over 70% through its high AUVs, efficient operations, and low build-out costs—fueling reinvestment and capital-light expansion
Digital Sales Mix	With 70% of sales coming from digital channels, Wingstop drives higher average checks and AUV growth while limiting incremental labor and complexity

(1) In Millions of USD, 2025E Revenue (2) Percent of 2025E Revenue
Sources: Company Reports, Bloomberg Intelligence

Company Management

Wingstop's management team boasts a combined 50+ years of relevant experience

Michael Skipworth
President & CEO

- Brings deep financial and operational expertise across the restaurant and logistics industries
- Played a key role in Wingstop's strategic growth and 2015 IPO success
- Began career in audit and assurance at KPMG LLP, focusing on reporting
- Prior experience includes Senior Vice President of Finance and Accounting at Cardinal Logistics Holdings, LLC

Alex Kaleida
Chief Financial Officer

- Joined Wingstop as Vice President, Financial Planning & Analysis
- Expanded leadership to include FP&A, Internal Audit, and Investor Relations
- Previously held finance and strategic leadership positions at the Wendy's Company and H.J. Heinz Company
- Known for strong financial planning, reporting, and strategic partnership across operations and with investors

Marisa Carona
Chief US Franchise Officer

- Joined Wingstop in 2015, leading guest experience, and operations integration
- Prior to Wingstop, led initiatives on strategy at 7-Eleven focusing on innovation, growth and transformation
- Began career at Lockheed Martin in engineering and operations leadership
- Previously served as Chief Growth Officer and Chief US Franchise Operations & Development Officer

Sources: Company Reports, LinkedIn

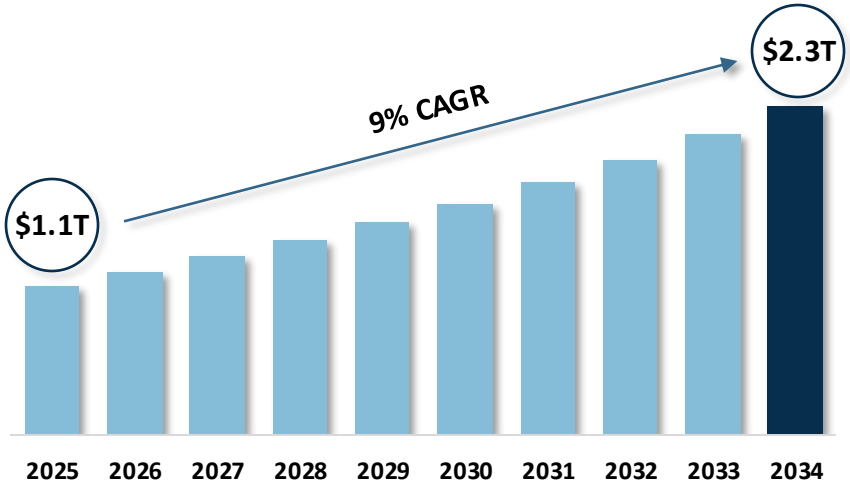
B. Industry Overview

Industry Landscape

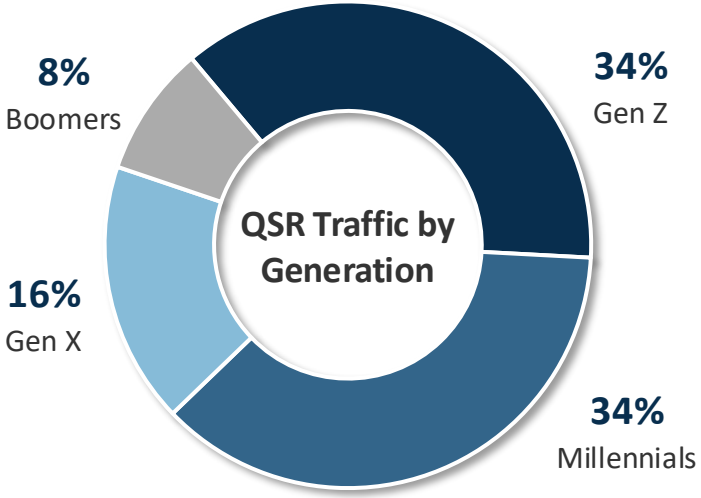
Consumers Are Choosing QSRs

- The QSR category continues to gain share as consumers prioritize convenience, speed, and predictable value over full-service dining experiences
- Traffic growth is driven primarily by increased visit frequency rather than price increases, signaling sustained demand despite macro pressure
- Consumers are trading down in format, not in occasions, maintaining dining frequency while shifting toward quicker, lower-commitment meals
- Large brands are best positioned through faster innovation cycles, menu flexibility, and supply-chain efficiencies

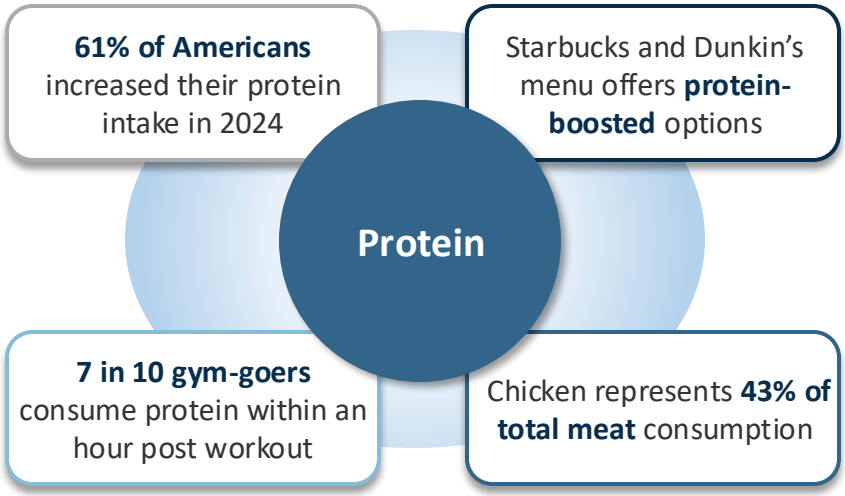
A Trillion Dollar Industry Expands



The Youth Generate Growth



Protein is In



Sources: Fortune Business Insights, QSR Magazine, Starbucks, Glanbia Sports Nutrition Reports

C. Investment Highlights

Investment Highlights

Standardized Operations Drive Scale

A Simple and Proven Operating Model

Efficient Labor
Simple menu and high digital adoption drives an efficient labor model

Exceptional ROI
Distinctive, high-quality product and pricing delivers value to guests

Low Fixed Cost
Focused on "B" real estate sites translating to low occupancy rates

Case Study on Buffalo Wild Wings

Too Much Real Estate
Standard B-Dubs locations run 4,000-7,000+ sq. ft. Wingstop's 1,700 sq. ft. format costs less and delivers quicker ROI

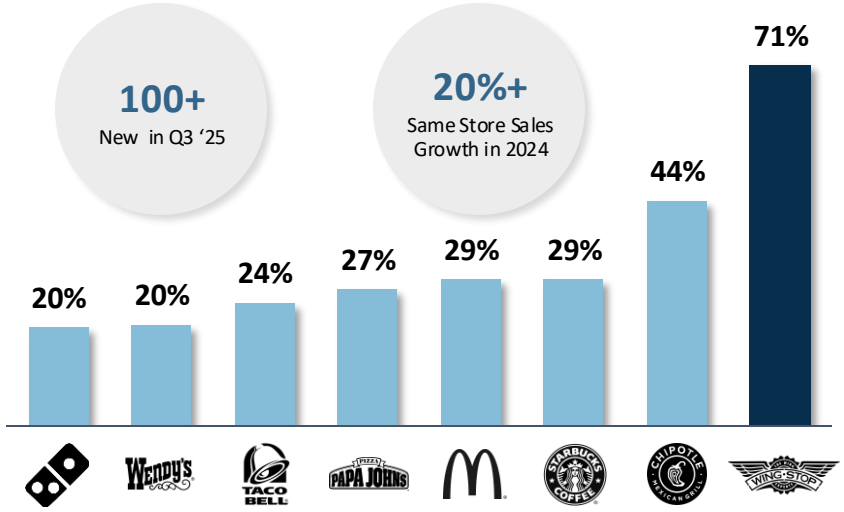
Digital Delivery Gap
B-Dubs is built for dine in, not digital. This slows delivery growth and reduces scalability in online markets

Menu Depth
A larger menu and additional cooking methods leads to increased training and variability, affecting quality

Best-in-Class Unit Economics

	2015	2019	2025
Domestic AUV	$1.1M	$1.2M	$2.1M
Investment Cost	~370K	~400K	~$500K
Unlevered COC Return	50%	50%	70%+

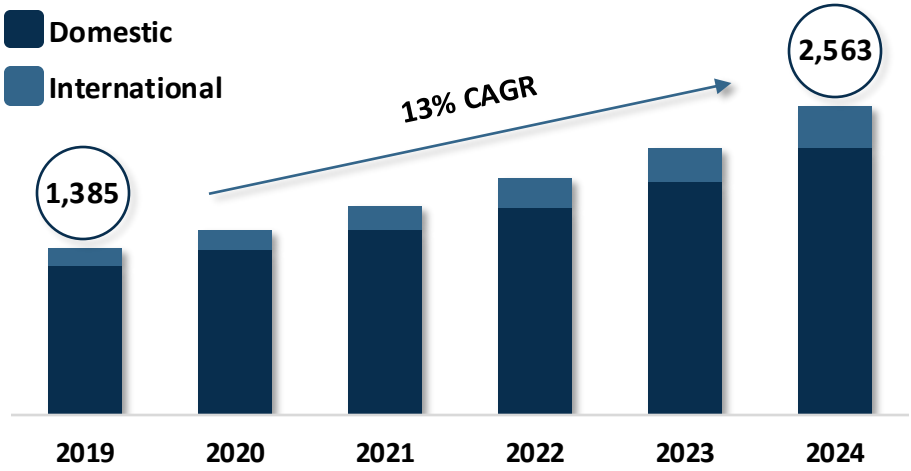
Industry Leading SSS Growth[1]



(1) Fiscal years 2020-2024
Sources: Company Reports, CNBC

Capitalized for International Scale

Consistent Domestic and International Growth

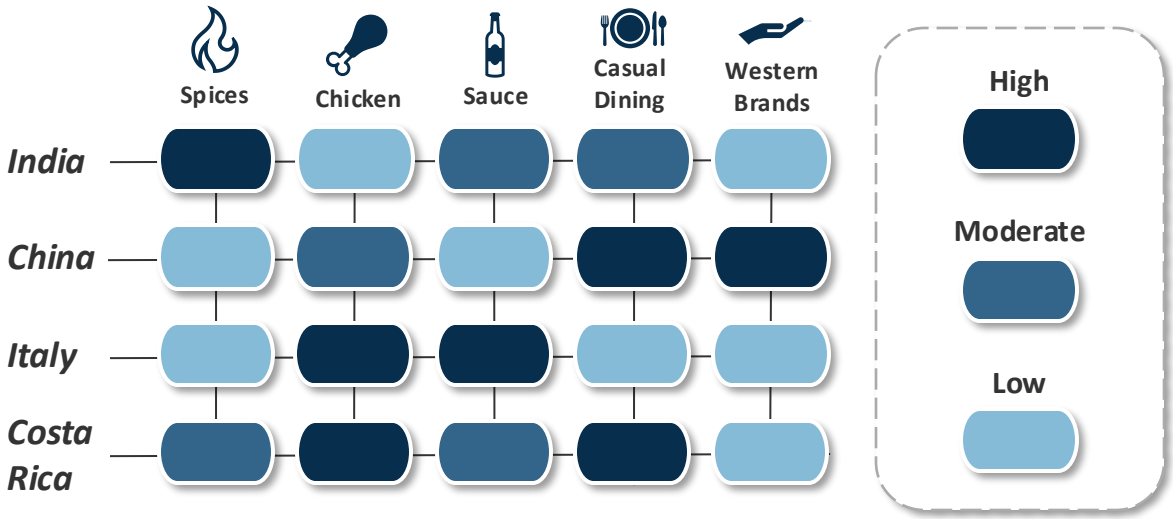


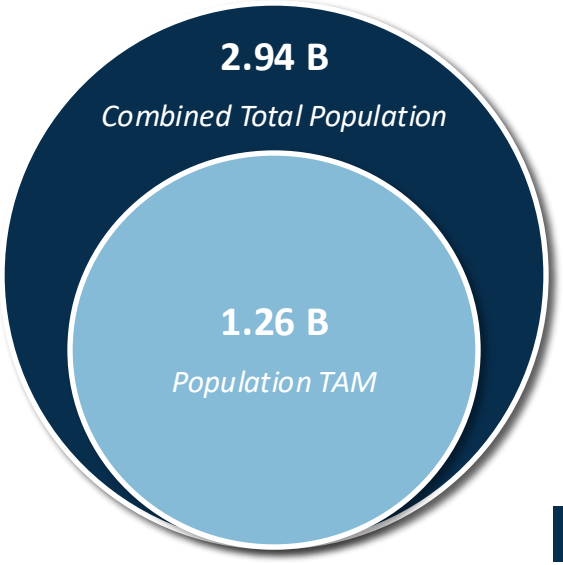
How It's Going

	Markets	Store Count	2 Year Growth	Potential Reach
Legacy		263	87%	550
Emerging		96	250%	1,450

Proven Portability | Strong Results | Accelerating Growth

Alignment with International Cultural Preference

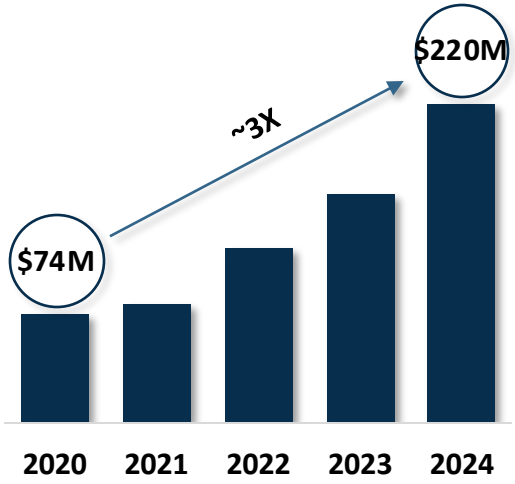




Sources: Company Reports, CNBC, Country Population, Worldometer, Market Research Reports on Google Scholar

Built for Digital-First Generations

A Growing National Advertising Fund



NBA
NFL
Premier League
UFC

Going Viral on Social Media

Kylie Jenner

+400M Impressions

Keith Lee

+25M Impressions

Giannis A.

+20M Impressions

Who's Wingstop for?

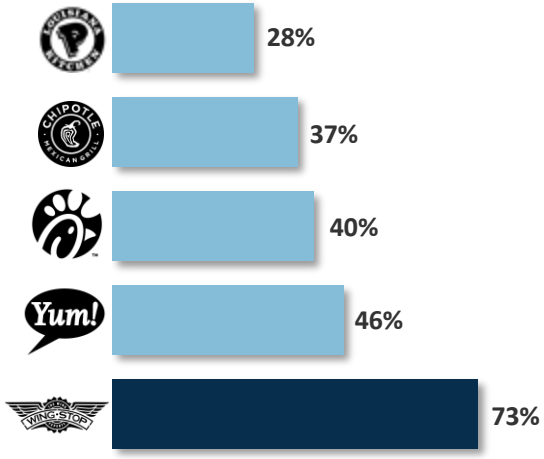
Demographics

- High Household Income
- Gen Z and Millennials
- Engages with Brands Digitally

Consumption Preferences

- Anchors to Group Occasions
- High Frequency
- Large Share of Boneless Consumption

Digital Sales Mix Dominates Competitors



Domestic SSS tracks closely with social media mentions, leading to increased brand heat from ad spend

Higher digital sales mix supports lower CAC and higher unit economics relative to peers with lower digital penetration

Sources: Company Reports, QSR Service Group, Bloomberg

Brand-First Menu Innovation

A Powerful Product Mix

2

Launched in 2022

~3.5B Sold in US

1

20%+ of Product Mix

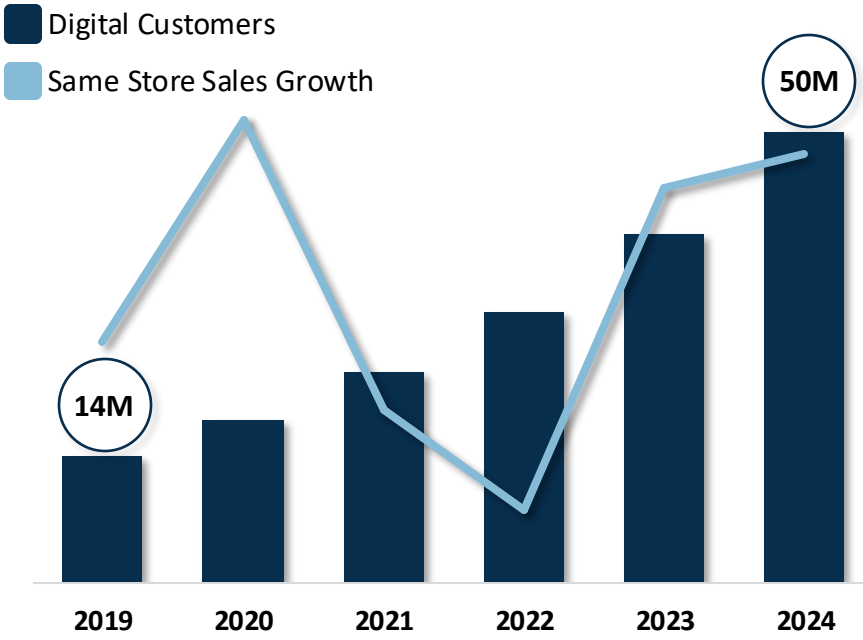
Offered in 12 Flavors

~9.5B Sold in US

3

~1.8B Sold in US

Driving Growth in Customer Database



Accelerating New Menu Items

Flavor Leadership

Limited-time flavor innovation creates excitement and urgency, driving new visit occasions through constant flavor news

Value Activation

Bundles and value-forward offers convert demand into traffic by giving guests clear, compelling reasons to choose Wingstop

2024
- Sweet BBQ Blaze
- The Hot Chilli Rub

2025
- Fiery Lime
- Mexican Street Spice

2026
- Saucy Siracha
- Sweet Garlic Honey

- Launch of the Wingstop Hotbox
- Dry Rub January Introduced
- Crispy Tenders Hit Menu
- Weekly Wingstop Drops Created

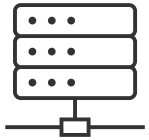
Sources: Company Reports, ESSFeed, FastBull, National Chicken Council

Scalable Digital First Adoption

Scalable Kitchen Operating Platform

Smart Kitchen Implementation

- Demand Forecasting
- Kitchen Display System
- Order Ready Screen



After Smart Kitchen

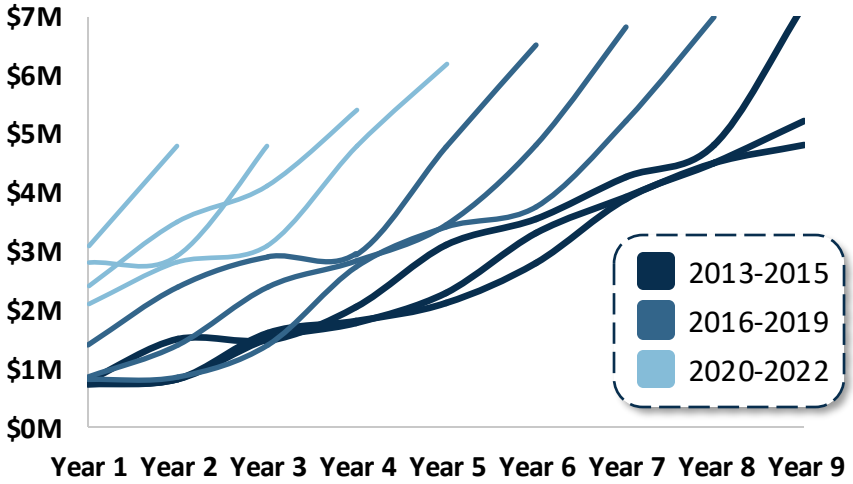
-50%
Reduction in quote time

+8%
improvement in satisfaction scores

Technology Investments Drive AUV Growth

Digital Platform	MyWingstop	WingID	Loyalty
Architecture	Insights & Analytics →	Digital Database →	Precision Targeting
Drivers	300+ Datapoints	Hyper-Personalized	50M+ Guests

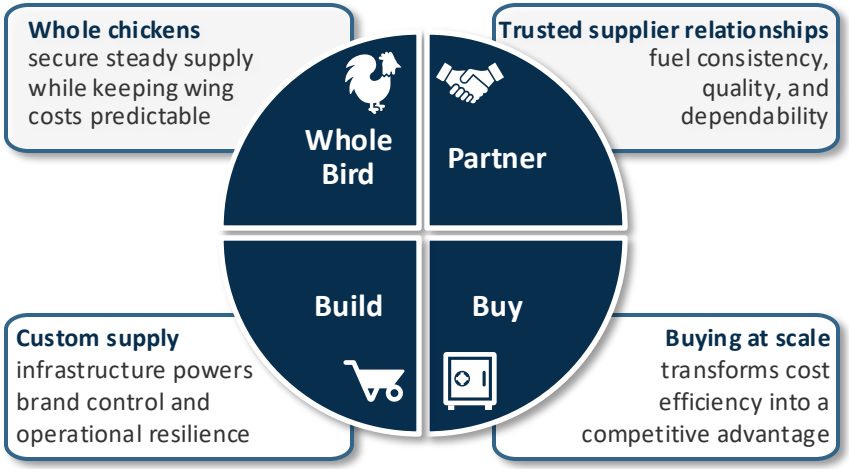
Vintage AUVs Still Climbing



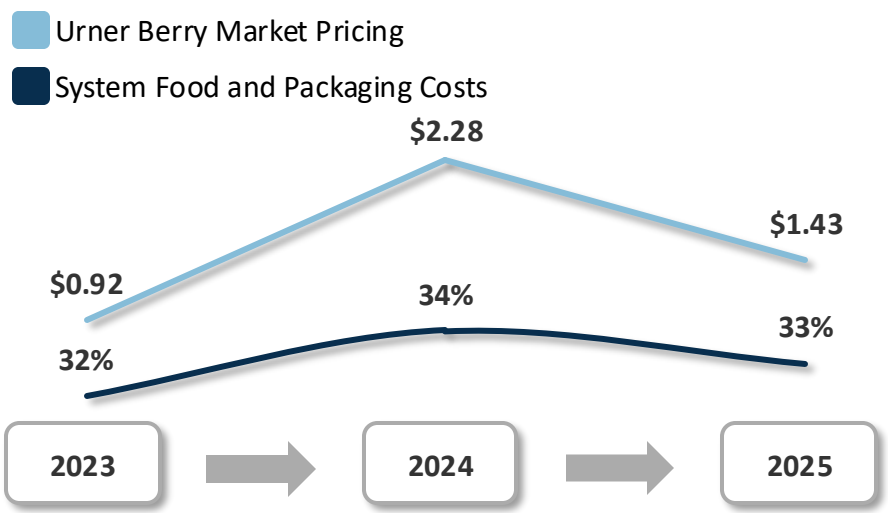
Sources: Company Reports

Cost Control Protects Margins

Supply Chain Strategy



Eliminating Food Cost Volatility



Flavor for Food Program

1. End-to-end audits and training ensure consistent food safety and temperature control while maintaining product quality across the supply chain
2. All poultry suppliers meet NCC guidelines and provide cage-free housing with controlled environments proper nutrition protection and reduced animal stress
3. Supplier partnerships follow a Global Code of Conduct that supports integrity, labor standards, animal welfare, sustainability, and strong management practices

Sources: Company Reports

D. Risks to Thesis

Regulatory and Compliance Risks

Operational Execution Risk

Risk	Mitigation
While promising and innovative, the Smart Kitchen Rollout is still in early stages, and execution delays could hinder efficiency gains	Phased Smart Kitchen rollout allows Wingstop to test ROI and efficiency gains before full deployment, reducing execution risk
Wingstop's asset-light model relies heavily on franchisee performance, so deteriorations in unit economics could impact the company's growth	Menu standardization and approved supplier networks reduce operating variability and limit downside from inefficient franchisees

Wingstop's Diverse Competition

Fast Casual in the USA	Chicken-Focused QSRs	International Expansion Threats
Chipotle Mexican Grill, CAVA	Popeyes, Raising Cane's Chicken Fingers	Nando's, Dave's Hot Chicken, KFC

Growth Roadblocks

Currency Risk	International royalty streams, creating earnings volatility that can be mitigated over time through geographic diversification and hedging
International Entry Costs	Upfront franchise support, marketing, and supply chain setup will moderate as markets mature and scale efficiencies are realized
Rising Cost	Higher costs for chicken wings, labor, and food inputs could pressure margins if pricing fails to offset inflation

Macroeconomic Risks

- Being part of the discretionary consumer category, Wingstop is vulnerable to macroeconomic slowdowns, especially among lower-income demographics
- High third-party delivery fees and platform dependence presents possibility of profitability erosion if consumer behavior or platforms renegotiate their terms
- As Wingstop expands its digital brand and delivery footprint, the company may face increased scrutiny around food safety, franchise compliance and labor classification
- Persistent high interest rates raise borrowing costs for franchisees, slowing down new unit openings and delaying systemwide growth, independent of consumer demand

Sources: Company Reports, FDDs

E. Valuation & Recommendation

Stock Performance

Key Events

1 Feb '25	Stock slides 7% as higher food, beverage and packaging costs lead to revenue shortfall	4 Jun '25	Analysts remain optimistic around Wingstop's scale, labor model and boneless sales
2 Mar '25	Major banks including Morgan Stanley all lower price target following slowing sales	5 Aug '25	Shares up 24% after the company reported a record 129 new restaurants in Q2
3 Apr '25	Positive Q1 2025 earnings and new store development push price target up	6 Nov '25	Wingstop CEO announces that the company plans to launch in Ireland, Thailand, and Italy

Stock Performance

(1) Normalized as of 2/1/2026

Sources: Company Reports, Bloomberg Intelligence

Comparable Analysis (1 of 2)

Public Comparables Analysis

(USD in millions)

Name	Ticker	Mkt Cap ($M)	TTM Sales ($M)	Growth (%)	EV/EBITDA	P/E
Dutch Bros	BROS	8,952	1,537	32.6%	32.5x	117.3x
CAVA Group	CAVA	7,031	1,132	32.3%	49.4x	54.3x
Chipotle Mexican Grill	CMG	51,397	11,787	14.6%	23.5x	34.4x
Domino's Pizza	DPZ	13,864	4,848	5.1%	18.6x	24.0x
Wingstop	**WING**	7,375	683	36.0%	28.6x	43.1x
25th Percentile		8,472	1,436	12.2%	22.3x	31.8x
Mean		20,311	4,826	21.1%	31.0x	57.5x
75th Percentile		23,247	6,583	32.3%	36.7x	70.1x
Lower End					$198.76	$195.86
Mean Implied Price					$290.84	$354.22
Upper End					$351.04	$431.68

Comparable Analysis (2 of 2)

Comps Selection Reasoning

DUTCH BROS Coffee	Dutch Bros is a drive-thru coffee company known for its upbeat atmosphere and strong community presence. The brand emphasizes speed and friendliness	Dutch Bros' simplified offerings, high-throughput drive-thru, and loyal customer base are similar to Wingstop's emphasis on repeat traffic and menu simplicity
CAVA	Cava is a fast-casual Mediterranean restaurant offering customizable bowls and pitas made with fresh ingredients, bold flavors, and globally inspired recipes	Cava's fast-casual, limited-menu model with strong unit economics and digital ordering parallels Wingstop's focus on operational efficiency and scalable growth
CHIPOTLE MEXICAN GRILL	Chipotle is a fast-casual Mexican grill serving customizable burritos, bowls, and tacos made with responsibly sourced ingredients and a focus on fresh cooking	Chipotle's brand strength, menu focus, and scale in fast-casual dining align with Wingstop's ability to drive consistent traffic and long-term same-store sales growth
Domino's	Domino's is a global pizza chain specializing in delivery and carryout, offering pizzas, sides, and digital ordering with a strong focus on convenience and speed.	Domino's franchise-heavy system, off-premise focus, and technology investment mirrors Wingstop's asset-light model and emphasis on delivery-driven profitability

DCF Analysis (1 of 2)

Cash Flow Projections for Wingstop

(USD in thousands)

	Year ending December 31				Projected year ending December 31				
	2021	**2022**	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**
Revenue	282,502	357,521	460,055	625,807	699,840	820,912	955,542	1,117,602	1,275,854
Cost of Goods Sold	(57,416)	(63,395)	(70,646)	(91,632)	(101,477)	(119,032)	(138,554)	(162,052)	(184,999)
Gross Profit	**225,086**	**294,126**	**389,409**	**534,175**	**598,363**	**701,880**	**816,988**	**955,550**	**1,090,855**
Other Operating Costs	(151,330)	(202,193)	(276,815)	(368,559)	(349,920)	(410,456)	(477,771)	(558,801)	(637,927)
Operating Profit	**73,756**	**91,933**	**112,594**	**165,616**	**248,443**	**291,424**	**339,217**	**396,749**	**452,928**
Taxes	(16,249)	(21,696)	(28,824)	(43,226)	(64,595)	(75,770)	(88,197)	(103,155)	(117,761)
NOPAT	**57,507**	**70,237**	**83,770**	**122,390**	**183,848**	**215,654**	**251,021**	**293,594**	**335,167**
Depreciation & Amortization	7,943	10,899	13,239	19,490	24,494	27,911	31,533	35,763	39,551
Other Non-Cash Operating Costs	12,584	948	14,007	20,251	25,894	30,374	35,355	41,351	47,207
Capital Expenditures	(28,021)	(7,273)	(2,963)	(3,955)	(4,199)	(4,925)	(5,733)	(6,706)	(7,655)
Change in Working Capital	10,780	4,669	2,088	283	(2,987)	4,432	4,928	5,932	5,792
Unlevered Free Cash Flow	**60,793**	**79,480**	**110,141**	**158,459**	**227,050**	**273,445**	**317,103**	**369,935**	**420,062**
Ratios/Assumptions									
Sales Growth		26.6%	28.7%	36.0%	11.8%	17.3%	16.4%	17.0%	14.2%
Gross Margin	79.7%	82.3%	84.6%	85.4%	85.5%	85.5%	85.5%	85.5%	85.5%
Other Operating Costs (as a % of sales)	53.6%	56.6%	60.2%	58.9%	50.0%	50.0%	50.0%	50.0%	50.0%
Effective Tax Rate	22.0%	23.6%	25.6%	26.1%	26.0%	26.0%	26.0%	26.0%	26.0%
Depreciation & Amortization (as a % of sales)	2.8%	3.0%	2.9%	3.1%	3.5%	3.4%	3.3%	3.2%	3.1%
Other Non-Cash Costs (as a % of sales)	4.5%	0.3%	3.0%	3.2%	3.7%	3.7%	3.7%	3.7%	3.7%
Capital Expenditures (as a % of sales)	9.9%	2.0%	0.6%	0.6%	0.6%	0.6%	0.6%	0.6%	0.6%

DCF Analysis (2 of 2)

EBITDA Multiple Method	
WACC	9.9%
NPV of free cash flow	$1,187,497
Terminal multiple	31.0x
Terminal value	$15,274,259
PV of the terminal value	$9,527,340
Enterprise value	**$10,714,838**
Less: Net debt	$1,031,991
Equity value	**$9,682,847**
Diluted shares:	27,800
Equity Value Per Share	**$348.30**

Perpetual Growth Method	
WACC	9.9%
NPV of free cash flow	$1,187,497
Terminal growth rate	4.0%
Terminal value	$7,404,489
PV of the terminal value	$4,618,560
Enterprise value	**$5,806,057**
Less: Net debt	$1,031,991
Equity value	**$4,774,066**
Diluted shares:	27,800
Equity Value Per Share	**$171.73**

Sensitivity

		WACC				
		7.9%	8.9%	9.9%	10.9%	11.9%
Terminal multiple	30.0x	371.68	354.00	337.25	321.38	306.33
	30.5x	377.74	359.79	342.78	326.66	311.38
	31.0x	383.80	365.57	348.30	331.94	316.43
	31.5x	389.85	371.35	353.83	337.22	321.48
	32.0x	395.91	377.13	359.35	342.50	326.53

		WACC				
		7.9%	8.9%	9.9%	10.9%	11.9%
Terminal Growth Rate	3.0%	225.30	179.06	146.29	121.85	102.94
	3.5%	251.15	195.92	158.01	130.39	109.39
	4.0%	283.63	216.23	171.73	140.18	116.65
	4.5%	325.67	241.14	187.98	151.49	124.89
	5.0%	382.19	272.45	207.56	164.71	134.33

Valuation Summary

We rate Wingstop as a **buy** with a $330.00 price target against a current price of $266.66.

	Methodology	Valuation	Commentary
Market Based	EV / EBITDA	$290.84	Market multiples imply Wingstop is fairly valued with upside potential
Market Based	Price / Earnings	$354.22	Industry comparables suggest Wingstop is attractively priced below peers
Market Based	52 Week High/Low	High: $388.14 Low: $204.00	52-week performance displays an attractive entry price for WING with room to grow
Assumption Based	DCF	$348.30	DCF yields an implied share price of $348.30, for an upside of 30.6%
Assumption Based	Street Consensus	$327.50	83.3% of analysts (25) rate WING as a BUY, with 13.3% (4) a HOLD, yielding a 22.8% upside

Sources: Company Reports, Bloomberg

Recommendation

We recommend purchasing 40 shares of Wingstop, Inc. at the market price of $266.66

Thesis

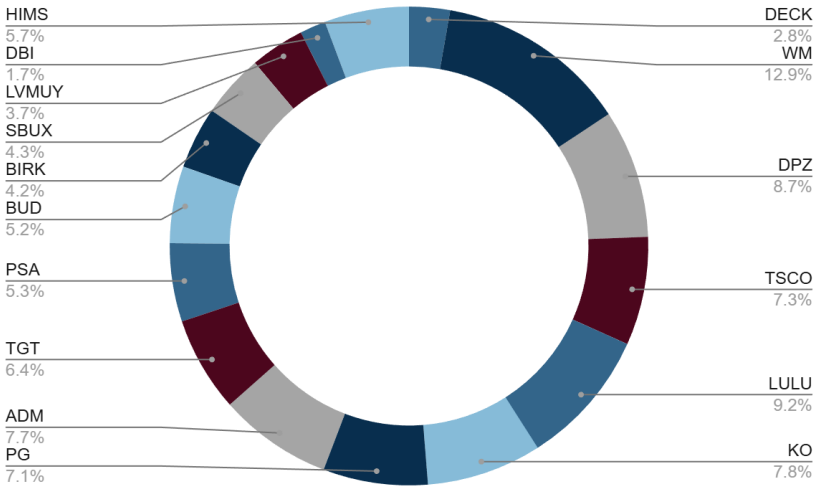
Wingstop has established itself as one of the most compelling growth stories in the global QSR landscape, powered by a highly scalable asset-light franchise model, a digitally native ordering experience, and a category-defining flavor leadership in chicken. Its disciplined focus on off-premise dining, best in-class unit economics, and data-driven marketing has created a balance of strong same-store sales, rapid unit expansion and expanding margins. As Wingstop accelerates international development and deepens its digital ecosystem through loyalty, delivery, and kitchen automation, the company is positioned to capture a growing share of the global chicken consumption.

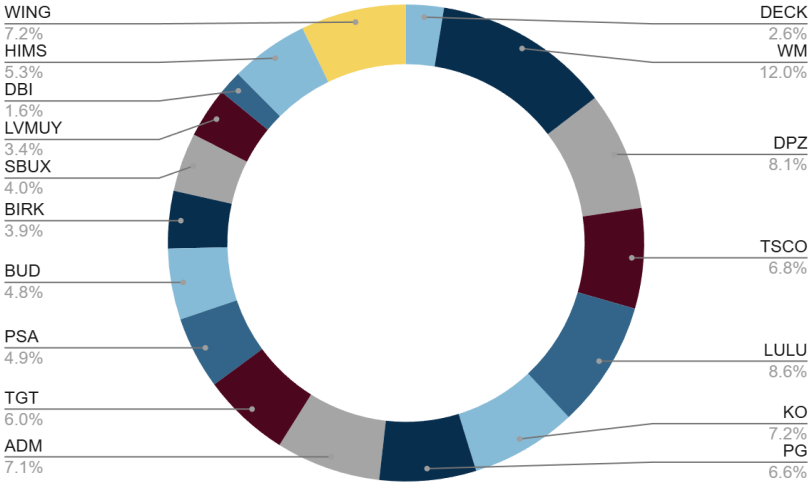
Proposal

Buy: 40 shares
Total value: $10,666.40

Sector Weight: 7.16%
Overall Weight 0.77%

Illustrative Impact





WF

Supporting Analysis on Franchise Model Economics

Company Owned v. Franchisees

	Metric	
55	Stores	2,877
$2.3M	AUV	$2.0M
3.8%	Growth	10%
25.5%	Margin	~20.0%

No Closings?

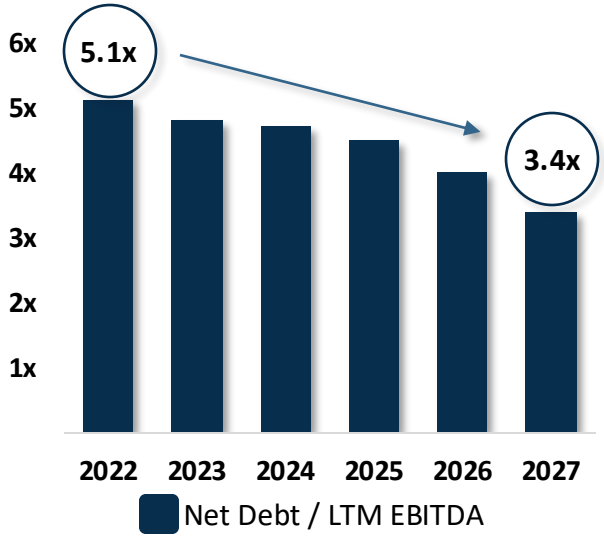
In 2024, there were 10 closures to 265 openings

As of Q3 '25, there have been 8 closures to 377 openings

Advertising Fund

- Wingstop's advertising is paid for by franchisees (5.3% of gross sales) via a national Ad Fund
- Ad Fund contributions are recorded as revenue and expense at the same time, with assets and liabilities marked exclusively for marketing purposes
- The restrictions come from franchise agreements and disclosure regulations, not accounting rules, requiring Wingstop to use the funds exactly as promised
- The entire system depends on ongoing franchisee alignment, because without their continued financial support, Wingstop's advertising reach and brand momentum could be materially affected

Ability to Deleverage



Capital Expenditures

Kept low due to lack of guidance, prior tech investment, and emphasis on balance sheet repair

Net Working Capital

One-time NWC release reversed; forward periods assume normalized, modest investment

Smart Kitchen Rollout

Located in 400 Stores in May '25 → **Installation Complete by 2025**

AI Forecasting Engine

Every 15 minutes, the system predicts demand from 300+ variables, helping the kitchen handle spikes in orders and foot traffic

Readiness Displays

Once an order's ready, it's clearly marked for handoff, showing front-of-house teams and delivery drivers what's ready and what's still in progress

Touchscreen Order Interfaces

Walks crew members through each step of an order in a gamified flow that other team members can easily jump in to view and manage as needed

Sources: Company Reports, Wells Fargo Equity Research Report, Company 10-K, GoCanopy, YahooFinance